

GALLANT IAS ACADEMY
PRELIMS CUM MAINS BATCH 2027
ECONOMY
MODULE 6
MONETARY POLICY

Money and banking are the cornerstones of a strong and effective economic and financial system. In earlier times, when there was no concept of money and banking, people used the **barter system of exchange** - they exchanged commodities.

Major Problems of the Barter System

Problem	Description
Double Coincidence of Wants	Everyone must find a person who is willing to buy what they are willing to sell, and a person who is willing to sell what they want to buy.
Difficult to Carry Forward Wealth	Some goods cannot be stored for making future purchases. E.g., Fruits or vegetables cannot be stored like cloth.
Absence of a Standard Unit of Account	How much of one commodity should be given for another could be a problem. E.g., you cannot exchange a cow for a kg of rice.

These problems led to the evolution of money. F.A. Walker has defined money as: "Money is what money does."

FUNCTIONS OF MONEY

Function	Description
Medium of Exchange	Money can be easily exchanged for goods and services. This is possible because money is readily acceptable as it is legal tender. It is durable as it remains functional for a long time.
Measure of Value (Unit of Account)	Money serves as a common measure of value so that relative comparison of goods is possible. Enabled by Divisibility and Fungibility of money. Divisible: can be easily divided into small increments to match commodity values precisely (e.g., 4 notes of Rs.500 = 1 note of Rs.2000). Fungible: ability of a good or asset to be interchanged with other individual goods of the same type (e.g., 1 note of Rs.500 can buy the same amount as another note of Rs.500).
Standard of Deferred Payments	Future monetary obligations can be settled using money. E.g., a loan taken today is settled in installments.
Store of Value	Money's ability to be saved, held, and used to purchase goods and services in the future without losing its purchasing power.

Face Value and Intrinsic Value of Money

Face Value	Intrinsic Value
The legally defined value of the coin relative to other units of currency.	The market value of the constituent metal within a coin.
Fiat money has a face value.	Fiat money does not have intrinsic value.
Cannot be derived from selling of constituent metal/currency itself.	Can be derived from selling the constituent metal itself.

TYPES OF MONEY

Type	Definition
Full-bodied Money	Money whose face value is equivalent to its intrinsic value. E.g., gold or silver currency used in earlier times.
Token Money (Paper Money Credit Money)	Money whose face value is greater than its intrinsic value. E.g., Paper currencies.
Paper Money	Money made out of paper. Further divided into: Representative full-bodied paper money (Convertible): Issued against an equivalent amount of gold/silver (bullion) by the issuing authority. Holders can go to the central bank and get it converted to an equivalent amount of gold or silver. Inconvertible money: Cannot be converted to an equivalent amount of gold or silver; no obligation on the central bank. India currently has token money - RBI has no such obligation.
Fiat Money	Issued without any backing of an equivalent amount of gold or silver. There is no obligation on any person to accept this money. No legal action can be initiated in this case.
Legal Tender	Money recognized by the law of the land as valid for payment of debt. Must be accepted for discharge of debt. The RBI Act of 1934 gives the central bank the sole right to issue banknotes. Two types: Limited legal tender: Compulsory to accept only up to a certain limit. E.g., 50p coin cannot be used beyond Rs.10; coin $\geq$ Rs.1 can be used only up to Rs.1000. Unlimited legal tender: Currency notes are unlimited legal tender and can be offered for dues of any size.
Non-legal Tender (Optional Money)	Money with no legal obligation to be accepted by anyone. E.g., Cheques, Demand Drafts, etc. Generally accepted but no one is legally bound to accept them.
Fiduciary Money	Accepted on the basis of trust between the payee and the payer. Has value because people have faith that it will be accepted in exchange for goods and services.

Near Money	Highly liquid assets that can be quickly converted into cash. Generally non-cash assets that are very liquid but cannot be used directly for transactions.
Plastic Money	Refers to credit cards, debit cards, etc. that are routinely used instead of actual cash.
Deposit Money	Money deposited in banks and financial institutions. E.g., savings accounts, fixed deposits, recurring deposits, etc.
Helicopter Money (Helicopter Drop)	Increasing the supply of money through measures such as more spending, tax cuts, etc. An expansionary fiscal or monetary policy involving printing large sums of money and distributing it to the public to stimulate the economy. The term was coined by American economist Milton Friedman in 1969 .
Digital Money (Electronic Money)	Any means of payment that exists in a purely electronic form. Unlike other forms of money, it is not physically tangible. Increasingly prevalent with the rise of online banking and digital wallets.

EVOLUTION OF INDIAN CURRENCY

On **July 15, 2010**, the Indian Rupee received its much-awaited symbol, just like other leading currencies - Dollar, Euro, Pound Sterling and the Yen. The new symbol is an amalgamation of Devanagari 'Ra' and the Roman 'R' without the stem.

India was one of the earliest issuers of coins. Historical evidence suggests the first coins may have been introduced somewhere between 2500 and 1750 BC, though the first **documented coins** date from between the 7th/6th century BC to the 1st century AD.

These coins are called '**punch-marked**' coins because of their manufacturing technique. In **712 AD**, the Arabs conquered the Indian province of Sindh and brought in their influence. By the **12th Century**, Turkish Sultans of Delhi replaced longstanding Arab designs with Islamic calligraphy, referred to as '**Tanka**'. The Delhi Sultanate standardized this monetary system; coins were subsequently made in gold, silver and copper.

In **1526**, the Mughal period commenced, bringing forth a unified and consolidated monetary system for the entire Empire. Afghan King **Sher Shah Suri (1540-1545)** introduced the **silver Rupayya or the Rupee coin**. The princely states of pre-colonial India minted their own coins, mainly resembling the silver Rupee but with regional distinctions.

During the late 18th Century, agency houses developed banks such as the Bank of Bengal, Bank of Hindustan, Oriental Bank Corporation and Bank of Western India. These banks also printed their own paper currency. With the formation of the **Paper Currency Act in 1861**, the issue of notes was monopolized by the Government.

The **Reserve Bank of India** took over the authority to print and circulate banknotes from the Government in **1935**. Notes bearing the portrait of George V were replaced by notes bearing the portrait of George VI in 1938 and were in circulation till 1947. The **Lion Capital at Sarnath** replaced George VI's portrait after Independence.

Indian Rupee did not use the decimal system and was subdivided into **16 annas till 1957**. In **1957**, the decimal monetary system was adopted and one rupee was restructured to equal 100 paise. In **1996**, the **Mahatma Gandhi series** of paper notes was introduced, which is currently in circulation.

MONETARY POLICY

Monetary Policy is a macroeconomic policy tool used by the Central Bank to manage the money supply in the Indian economy in order to achieve macroeconomic goals such as price stability, economic growth, exchange rate stabilization and employment. The RBI under the RBI Act of 1934 uses various monetary instruments to control credit in the economy.

Objectives of Monetary Policy

Objective
Accelerating economic growth
Price stability
Exchange rate stabilization
Balancing savings and investment
Employment generation

Types of Monetary Policy

Type	Mechanism	Also Called
Expansionary Policy	Increases money supply to stimulate growth. Key measures: (1) Decreasing interest rates - makes borrowing cheaper; (2) Lowering reserve requirements - allows banks to lend more; (3) Purchasing government securities - injects money into the economy. Aimed at boosting economic activity, encouraging consumer spending and reducing unemployment. If overused, it can lead to inflationary pressures.	Accommodative policy, Easy money policy, Dovish policy, Cheap money policy.
Contractionary Policy	Reduces money supply to control inflation. Key measures: (1) Raising interest rates - makes borrowing costlier; (2) Increasing reserve requirements - tightens liquidity; (3) Selling government bonds - withdraws money from the economy. The primary goal is to control rising prices and maintain economic stability.	Tight monetary policy, Hawkish policy, Dear money policy.

MONETARY POLICY IN INDIA

Prior to 2016, the Governor of RBI was singularly responsible for formulating monetary policy, although advised by a Technical Committee with veto power. The **Finance Act of 2016** amended the RBI Act of 1934 to set up a **Monetary Policy Committee (MPC)**. The idea was mooted by the **Urjit Patel Committee**. At present, monetary policy in India is formulated by this committee.

Monetary Policy Committee (MPC)

Feature	Detail
Legal Basis	Section 45ZB of the amended RBI Act, 1934.
Meetings	At least 4 times a year.
Total Members	6 members.
Tenure	Members hold office for 4 years and are not eligible for re-appointment.
Quorum	4 members required for a meeting.
Casting Vote	The RBI Governor has a casting vote in case of a tie.

Composition of MPC

Member	Category
RBI Governor	Chairperson
RBI Deputy Governor (in charge of monetary policy)	RBI nominee
One official nominated by the RBI Board	RBI nominee
3 members appointed by the Central Government	Appointed based on recommendations of a search-cum-selection committee comprising: the Cabinet Secretary, the Secretary of the Department of Economic Affairs, the RBI Governor, and three experts in economics or banking nominated by the Central Government.

MONETARY POLICY TOOLS

Various instruments used by the RBI to control the money supply are categorized into two categories:

Category	Definition
Quantitative Tools	Aimed at controlling the cost and quantity of credit. Act on the overall volume of credit in the economy.
Qualitative Tools	Aimed at controlling the use and direction of credit. Make a distinction between 'good' credit and 'bad' credit and regulate only such credit which creates economic instability. Also called selective measures of credit control.

QUANTITATIVE TOOLS OF MONETARY POLICY

1. Bank Rate / Discount Rate

- **Bank Rate or Discount Rate** is the rate at which the RBI is ready to buy or rediscount Bills of Exchange or other Commercial Papers from Scheduled Commercial Banks (SCBs).
- A high Bank Rate reduces banks' incentive to rediscount bills, thereby reducing

money supply. Increase in Bank Rate = tightening of money supply, and vice versa.

- In present RBI operations, the **Repo Rate** has replaced the Bank Rate as the primary monetary policy tool for day-to-day liquidity management. Today the Bank Rate remains linked with the MSF rate and is primarily used as a **penal rate for statutory defaults**.

2. Reserve Requirements

The reserve requirement sets the minimum reserves each bank must hold as a part of their deposits. It comprises two instruments: CRR and SLR.

Cash Reserve Ratio (CRR)

Aspect	Detail
Definition	Minimum percentage of a bank's total Demand and Time Liabilities (DTL) that a Scheduled Commercial Bank must deposit with the RBI in the form of cash.
Interest Paid	RBI does not pay any interest on CRR deposits.
Range	RBI Act does not prescribe any range (ceiling or floor) for fixing CRR. RBI has the freedom to fix CRR at any rate.
Effect of Increase	Banks have to deposit more money with RBI and are left with less money to lend. Result: reduced money supply in the economy.
Effect of Decrease	Banks have to deposit less money with RBI and are left with more money to lend. Result: increased money supply in the economy.

Statutory Liquidity Ratio (SLR)

Aspect	Detail
Definition	Percentage of Net Demand and Time Liabilities (NDTL) that a Scheduled Commercial Bank must keep with itself in the form of Cash, Gold or SLR Securities (government bonds, treasury bills or any other instrument notified by the RBI).
Deposited With	Unlike CRR, SLR need not be deposited with the RBI - banks hold it themselves.
Range	0 percent to 40 percent.
Effect of increase	Banks are left with less money to lend. Result: reduced money supply.
Effect of decrease	Banks are left with more money to lend. Result: increased money supply.
Penalty for Non-maintenance	Penal interest at (Bank Rate + 3%) per annum above the bank rate, on the shortfall amount.

CRR vs SLR

Feature	CRR	SLR
Form	Cash only	Cash, Gold or SLR Securities
Held With	Deposited with RBI	Held by the bank itself

Interest from RBI	No interest paid by RBI	Banks earn returns on SLR securities
Range prescribed	No range prescribed by RBI Act	0% to 40%

3. Liquidity Adjustment Facility (LAF)

Liquidity Adjustment Facility (LAF) allows banks to borrow money from the RBI through repurchase agreements (Repos) or to make loans to the RBI through Reverse Repo agreements. It is aimed to aid banks in adjusting day-to-day mismatches in liquidity.

Repo Rate (Re-purchase Option Rate)

Aspect	Detail
Definition	Rate of interest at which the RBI provides short-term loans to Scheduled Commercial Banks against approved securities.
Key Rule	Banks cannot use SLR quota securities for repo.
Mechanism	The SCB promises to repurchase the securities when the loan amount is paid.

Tri-Party Repos (TREP)

Introduced by the RBI in **2018** in place of Collateralized Borrowing and Lending Obligation (CBLO). A tri-party repo is a repurchase agreement where a neutral third-party agent facilitates the transaction between a borrower and a lender, managing collateral, payments, and settlement to reduce operational and settlement risks.

Long Term Repo Operations (LTRO)

LTRO allows banks to borrow one to three years of funds from the Central Bank at the Repo rate. **Targeted LTRO (TLTRO)** requires banks to channel the borrowed funds into specific investments such as corporate bonds, commercial papers, to support sectors like small and mid-sized corporates, NBFCs and Micro Finance Institutions - increasing liquidity and ensuring smooth credit flow in targeted sectors.

Reverse Repo Rate

Reverse Repo Rate is the rate of interest at which the RBI borrows funds from the SCBs, the rate at which SCBs park their excess funds with the RBI for a short period. Repo Rate will always be higher than Reverse Repo Rate. Since April 2022, the **Standing Deposit Facility (SDF)** has replaced the Reverse Repo Rate as the operative floor of the LAF corridor.

4. Marginal Standing Facility (MSF)

Aspect	Detail
Introduced	Introduced by RBI in 2011.
Eligibility	All SCBs have current accounts with the RBI.
Borrowing Limit	Overnight short-term loan of up to 1% of their Net Demand and Time Liabilities (NDTL), against Government Securities as collateral.
Key Feature	Banks can keep SLR quota securities as collateral (unlike Repo).

Rate	25 basis points (0.25%) above the Repo Rate. Being a penal rate, it is the ceiling of the LAF corridor.
-------------	---

5. Standing Deposit Facility (SDF)

Introduced by the RBI in April 2022. Allows eligible banks to deposit their surplus funds with the central bank overnight **without providing any collateral**. It is currently **25 basis points (0.25%) below the Repo Rate**. The introduction of SDF provides the RBI with an additional lever to absorb liquidity without collateral, offering greater flexibility in liquidity management operations. The SDF has replaced the Reverse Repo Rate as the **floor of the LAF corridor**.

6. Legal Reserve Ratio (LRR)

The LRR is the mandatory minimum percentage of a bank's total deposits that it must hold as reserves, either as cash with the central bank (CRR) or as liquid assets like gold and securities with itself (SLR).

$$\text{LRR} = \text{CRR} + \text{SLR}$$

7. LAF Corridor

The LAF corridor is a framework used by the RBI to manage liquidity in the banking system:

Boundary	Rate	Detail
Ceiling (Upper Limit)	MSF Rate	Rate at which banks can borrow overnight from RBI (MSF = Repo + 25 bps).
Middle	Policy Rate Repo	The key benchmark rate set by the MPC.
Floor (Lower Limit)	SDF Rate	Rate at which banks can park surplus funds with RBI without collateral (SDF = Repo - 25 bps). Before 2022, Reverse Repo Rate was the floor; replaced by SDF as it does not require collateral securities.

8. Open Market Operations (OMOs)

Open Market Operations refer to the buying and selling of government securities by the RBI to regulate the short-term money supply.

RBI Action	Effect
Buys government securities	Injects funds into the system - induces liquidity.
Sells government securities	Withdraws funds from banks - curbs money supply.

9. Market Stabilization Scheme (MSS)

Market Stabilization Scheme refers to intervention by the RBI to withdraw excess liquidity by selling government securities. Under it, the RBI sells government bonds depending upon the volume of excess liquidity - bonds go to financial institutions and money goes back to the RBI. This withdrawal of excess liquidity is called **sterilization**. The securities issued under the MSS are called **Market Stabilization Bonds (MSBs)**.

POLICY STANCE

The policy stance guides the direction of the repo rate. There are primarily three policy stances - Hawkish, Neutral and Accommodative.

Policy Stance	What It Is
Hawkish	Aimed at raising interest rates to curb inflation. Higher interest rates make loans expensive, leading to a fall in consumption and investment, bringing down demand and inflation.
Dovish	In complete contrast to hawkish; targeted at lowering interest rates to spur spending and lending, and providing a boost to faltering economic growth. Falling rates bring down the cost of loans, enhancing spending and increasing credit.
Neutral	Flexible stance not focused either on encouraging or deterring growth and spending. Policy rates are neither increased nor reduced. MPC maintains flexibility so that rate changes can be effected either way based on incoming data.
Accommodative	Also known as 'easy monetary policy'; adopted when controlling inflation is not pressing but economic growth is slowing. Inclined to increase money supply to provide a nudge to growth through progressive reduction of interest rates.

Withdrawal of Accommodation

Refers to the gradual reduction or removal of monetary policy measures that were previously implemented to stimulate economic growth, typically during periods of economic slowdown or crisis.

QUALITATIVE TOOLS OF MONETARY POLICY

1. Margin Requirements

Margin refers to the difference between the value of securities offered for loans and the value of loans actually granted. If the RBI wants to control the flow of credit to a particular sector, it fixes a high margin for that sector. As a result, customers will take lesser loans for that sector.

2. Consumer Credit Regulation

Credit made available by commercial banks (in installments) for the purchase of consumer durables is known as consumer credit. If there is excess demand for certain consumer durables leading to high prices, the RBI reduces consumer credit by: (1) increasing down payment, and/or (2) reducing the number of installments of repayment.

3. Moral Suasion

Moral Suasion means persuasion and request. The RBI makes banks adhere to its policy and directives through persuasion or pressure in order to maintain a certain level of money supply in the economy.

4. Direct Action

The RBI takes direct action - such as refusing to rediscount bills or charging penal interest rates - when a commercial bank does not co-operate with the central bank in achieving its desirable objectives.

5. Rationing of Credit / Credit Ceiling

Under this, the RBI fixes a ceiling on the amount of loans that can be granted by SCBs.

As a result, SCBs tighten in advancing loans to the public.

SIGNIFICANCE OF MONETARY POLICY

- Plays an important role in maintaining price stability and ensuring economic growth.
- By maintaining price stability, it helps manage inflation.
- Shapes variables like Consumption, Savings, Investment, and Capital formation.
- An increase in money supply helps stimulate the business sector, creating more jobs.
- By controlling money supply in the market, helps balance Currency Exchange Rates.

LIMITATIONS OF MONETARY POLICY IN INDIA

Limitation	Detail
Unfavorable Banking Habits	People in India prefer cash over bank transactions. This reduces the credit creation capacity of banks.
Underdeveloped Money Market	The weak money market limits the coverage as well as the efficient working of RBI's policy actions.
Existence of Black Money	Black money is not recorded since borrowers and lenders keep transactions secret. Supply and demand of money do not remain as desired.
Conflicting Objectives	Economic development requires expansionary measures whereas curbing inflation requires contractionary measures. Striking a proper balance becomes difficult.

Monetary Policy Transmission

Refers to the process by which the Central Bank's actions to control the money supply (such as a change in the Repo Rate) are transmitted to the final objectives of stable inflation and growth. It involves the entire process starting from the change in the Policy Rate by the RBI, its response in financial markets, and the ultimate effect on businesses and households.

PRIORITY SECTOR LENDING (PSL)

Priority Sector Lending (PSL) is an RBI-mandated requirement for banks to allocate a set portion of their loans to key priority sectors that face credit shortages but are crucial for inclusive economic growth. PSL was formalized in **1972** based on the RBI's Informal Study Group's report (1971). Initially, no targets were set. In **1974**, banks were advised to raise PSL to **33.3% by 1979**. The **Krishnaswamy Committee (1980)** recommended a **40% PSL target by 1985**, with sub-targets for agriculture and weaker sections. The **Usha Thorat Committee (2009)** endorsed the continuation of the LBS for its role in the expansion of PSL.

PSL Targets for Banks

Bank Category	Target
Scheduled Commercial Banks (SCBs) & Foreign Banks (20+ branches in India)	40% of ANBC or CEOBE, whichever is higher.
Foreign Banks (less than 20 branches)	40% of ANBC or CEOBE (export credit: minimum 32%, non-export sectors 8%).

Regional Rural Banks (RRBs) & Small Finance Banks (SFBs)	75% of ANBC or CEOBE, whichever is higher.
---	--

ANBC = Adjusted Net Bank Credit (total net bank credit after necessary deductions and adjustments). CEOBE = Credit Equivalent of Off-Balance Sheet Exposure (credit risk exposure of off-balance sheet items such as guarantees and letters of credit).

Revised PSL Guidelines 2025

Change	Detail
Higher Loan Limits for Education	Loan limit under PSL for education increased from Rs 20 lakh to Rs 25 lakh per individual.
Renewable Energy Loans	Loan limits for renewable energy projects (solar power, biomass, micro-hydel plants) raised from Rs 30 crore to Rs 35 crore per borrower.
PSL Targets for Urban Cooperative Banks (UCBs)	Revised PSL target for UCBs reduced to 60% (from 75%) of ANBC or CEOBE, whichever is higher.
Housing Sector	Loan limits increased to boost affordable housing, particularly in Tier-III to Tier-VI cities.
Expansion of 'Weaker Sections' Category	List of eligible borrowers expanded; now includes transgenders, promoting financial inclusion and better credit access for underprivileged groups.

Priority Sector Lending Certificates (PSLCs)

A **PSLC** is a tradable instrument issued by banks to meet mandatory PSL targets set by the RBI. Banks that exceed their PSL targets can sell their PSLCs to other banks that are falling short, creating a market for these certificates on the **RBI's e-Kuber Platform**.

WAYS AND MEANS ADVANCES (WMA)

Feature	Detail
Definition	Temporary advances given by the RBI to the Centre and state governments to tide over any mismatch in receipts and payments.
Introduced	1997 under Section 17(5) of the RBI Act of 1934. Ended the four-decade-old system of ad-hoc treasury bills to finance the central government deficit.
Interest Rate	States and Centre pay interest linked to the Repo Rate on WMA withdrawals.
Repayment	Must be returned within 90 days. If WMA exceeds 90 days, it is treated as an overdraft (interest rate on overdrafts is 2 percentage points more than the Repo Rate).
Limit Setting	Decided mutually by the government and RBI and revised periodically.

FRBM	WMA is not part of the FRBM because they get paid within the year itself.
-------------	---

Liquidity Trap

Liquidity Trap is an adverse economic situation that occurs when consumers and investors prefer to hold onto their cash rather than spend or invest, even when interest rates are low. It emerges when interest charges are nil or during a downturn. People are afraid to spend money, hence they hold onto cash. As a result, even expansionary policy measures fail to increase the interest rate, income, and economic growth.

Quantitative Easing (QE)

Quantitative Easing refers to the Central Bank's action of purchasing securities from the open market to reduce interest rates and increase the money supply. It is aimed to create new bank reserves, providing banks with more liquidity, and encouraging lending and investment.

INFLATION TARGETING

A central banking policy that revolves around adjusting monetary policy to achieve a specified annual rate of inflation. Based on the belief that long-term economic growth is best achieved by maintaining price stability, and price stability is achieved by controlling inflation.

Type	Description
Strict Inflation Targeting	The central bank is only concerned about keeping inflation as close to a given inflation target as possible, and nothing else.
Flexible Inflation Targeting	Apart from keeping inflation within the target range, the central bank is also concerned about other things, such as the stability of interest rates, exchange rates, output, and employment.

MONEY SUPPLY

The **total stock of money in circulation among the public** at a particular point in time is called money supply. In India, the RBI uses the following tools as measures of Money Supply: M0, M1, M2, M3 and M4.

Aggregate	Formula	Also Called
M0	Currency in Circulation + Bankers' Deposits with RBI + 'Other' Deposits with RBI	Reserve Money
M1	Currency with the Public + Net Demand Deposits held by Commercial Banks	Narrow Money
M2	M1 + Savings Deposits with Post Office Savings Banks	--
M3	M1 + Net Time Deposits with the Banking System	Broad Money
M4	M3 + Total Deposits with Post Office Savings Organizations (excluding NSC)	--

New Monetary Aggregates

The Working Group on Money Supply (Chairman: Dr. Y.V. Reddy, 1998) recommended compilation of 4 monetary aggregates based on the balance sheet of the banking sector:

Aggregate	Formula
NM0 (Monetary Base)	Currency in Circulation + Bankers' Deposits with RBI + 'Other' Deposits with RBI
NM1 (Narrow Money)	Currency with Public + Current Deposits with Banking System + Demand Liabilities Portion of Savings Deposits + 'Other' Deposits with RBI
NM2	NM1 + Short-term Time Deposits of Residents (up to 1 year contractual maturity)
NM3 (Broad Money)	NM2 + Long-term Time Deposits of Residents + Call/Term Funding from Financial Institutions

Liquidity Aggregates

Aggregate	Formula
L1	NM3 + All Deposits with Post Office Savings Banks (excluding NSC)
L2	L1 + Term Deposits with Term-Lending Institutions and Refinancing Institutions (FIs) + Term Borrowing by FIs + Certificates of Deposit issued by FIs
L3	L2 + Public Deposits of Non-Banking Financial Companies (NBFCs)

VELOCITY OF MONEY AND MONEY MULTIPLIER

Velocity of Money

The velocity of money is a measurement of the rate at which money is exchanged in an economy — the number of times a unit of currency is used in a given period of time. It is measured as a ratio of GDP to a country's Total Money Supply:

Velocity of Money = GDP / Total Money Supply

An increase in the supply of money does not necessarily lead to an increase in GDP or inflation without taking the velocity of money into consideration.

Money Multiplier

The **money multiplier** quantifies how an initial deposit in a bank can lead to a greater increase in the total money supply. It is the reciprocal of the reserve ratio:

Multiplier m = 1/R (where R = Reserve Ratio/CRR)

Example: If Bank A has Rs.100 crore with a 10% reserve ratio, it lends Rs.90 crore (keeping Rs.10 crore as reserve). Bank B receives Rs.90 crore, keeps 10% (Rs.9 crore) and lends Rs.81 crore. This process continues until total reserves equal the initial deposit of Rs.100 crore. Total credit created = $90 \times 10 = \text{Rs.}900$ crore. Money Multiplier = $1/10\% = 10$.

Currency Deposit Ratio (CDR)

Ratio of the amount of currency the public holds in cash to the amount they hold in bank deposits. Reflects people's preference for holding money as physical cash versus in bank accounts. Higher CDR indicates greater preference for cash.

CDR = Money held by people in cash / Deposits of people in Banks

Reserve Deposit Ratio (RDR)

The mandatory percentage of a commercial bank's deposit that must be held as reserves instead of being lent out.

RDR = Reserve of Bank / Deposits of people in Banks

Minimum Reserve System (MRS)

In India, currency notes are printed in accordance with the **Minimum Reserve System (MRS)** in use since **1956**. The RBI is required to retain investments of at least **Rs.200 crore** at all times: the first **Rs.115 crore** must be in the form of gold or gold bullion, and the remaining **Rs.85 crore** in foreign currencies. Following maintenance of the Minimum Reserve, the RBI may print an unlimited amount of currency notes to meet the needs of the economy.

CAPITAL ADEQUACY RATIO (CAR) / CRAR

Capital-to-Risk Weighted Asset Ratio (CRAR) or **Capital Adequacy Ratio (CAR)** refers to the availability of sufficient capital as a percentage of risk-weighted assets:

CRAR = (Total Capital / Total Risk-Weighted Assets) x 100

Where Total Risk-Weighted Capital = Weighted average of total capital assets held by the bank. CRAR is fixed under **Basel Norms**. The principle behind fixing CRAR is that banks should have an adequate amount of their own capital to cover risks arising from Bad Assets (Bad Loans). For the calculation of CRAR, the loan amount given in each sector is multiplied by the presumed risk percentage of that specific sector.

PREVIOUS YEAR QUESTIONS

Which of the following activities of the RBI is considered to be part of 'Sterilization'? [2023]

- (a) Conducting 'Open Market Operations'
- (b) Oversight of settlement and payment systems
- (c) Debt and cash management for Central and State Governments
- (d) Regulating the functions of Non-Banking Financial Institutions

With reference to Central Bank Digital Currencies, consider the following statements:[2023]

1. It is possible to make payments in a digital currency without using the US dollar or SWIFT system.
2. A digital currency can be distributed with a condition programmed into it such as a time-frame for spending it.

Which of the following is/are correct ?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

How many of the following statements about SHGs are correct? [2023]

1. The SHG programme was originally initiated by the State Bank of India by providing microcredit to the financially deprived.
2. In an SHG, all members of a group take responsibility for a loan that an individual member takes.
3. The Regional Rural Banks and Scheduled Commercial Banks support SHGs.

Which of the following is/are correct?

- (a) Only one
- (b) Only two

- (c) All three
- (d) None

Consider the following statements [2023]

Statement-I: In the post-pandemic recent past, many Central Banks worldwide had carried out interest rate hikes.

Statement-II: Central Banks generally assume that they have the ability to counteract the rising consumer prices via monetary policy means.

Which of the following is/are correct?

- (a) Both Statements correct; Statement-II is the correct explanation for Statement-I.
- (b) Both Statements correct; Statement-II is NOT the correct explanation for Statement-I.
- (c) Statement-I is correct but Statement-II is incorrect.
- (d) Statement-I is incorrect but Statement-II is correct.

In India, which one of the following is responsible for maintaining price stability by controlling inflation? [2022]

- (a) Department of Consumer Affairs
- (b) Expenditure Management Commission
- (c) Financial Stability and Development Council
- (d) Reserve Bank of India

Consider the following statements about tight US Federal Reserve monetary policy: [2022]

1. Tight monetary policy of US Federal Reserve could lead to capital flight.
2. Capital flight may increase the interest cost of firms with existing External Commercial Borrowings (ECBs).
3. Devaluation of domestic currency decreases the currency risk associated with ECBs.

Which of the following is/are correct?

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

With reference to the Indian economy, consider the following statements: [2022]

1. If the inflation is too high, RBI is likely to buy government securities.
2. If the rupee is rapidly depreciating, RBI is likely to sell dollars in the market.
3. If interest rates in the USA or EU were to fall, that is likely to induce RBI to buy dollars.

Which of the following is/are correct?

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Which among the following steps is most likely to be taken at the time of an economic recession? [2021]

- (a) Cut in tax rates accompanied by increase in interest rate
- (b) Increase in expenditure on public projects
- (c) Increase in tax rates accompanied by reduction of interest rate
- (d) Reduction of expenditure on public projects

The money multiplier in an economy increases with which one of the following? [2021]

- (a) Increase in the Cash Reserve Ratio in the banks
- (b) Increase in the Statutory Liquidity Ratio in the banks

- (c) Increase in the banking habit of the people
- (d) Increase in the population of the country

With reference to the Indian economy, 'Collateral Borrowing and Lending Obligations' are instruments of [2024]

- (a) Bond market (b) Forex market (c) Money market (d) Stock market

Consider the following statements about Capital Adequacy Ratio (CAR) [2018]

1. CAR is the amount that banks have to maintain in the form of their own funds to offset any loss that banks incur if the account-holders fail to repay dues.
2. CAR is decided by each individual bank.

Which of the following is/are correct?

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2



GALLANT IAS